

Homework Problem

- Your company considers investing in a project with these two-year projections. What are the project's FCFs?
- Your (publicly-traded) company has an (equity) beta of 1.5, it has 40% debt and 60% equity, what is your company's expected return to equity? What is the WACC?
- Assuming the project's terminal growth rate (g) after year 2 is 3%, what is the terminal value (TV)?
- What is the NPV of the project? Should you invest?
- **Assumptions:** risk-free rate of 4%, market risk premium of 7%, corporate debt pays 6%, corporate tax rate of 25%

(Figures in \$'000)		Year 0	Year 1	Year 2
Revenue (REV)		\$0.0	\$45.0	\$75.0
Cost of Goods Sold (COGS)		\$0.0	\$10.0	\$20.0
Gross Profit (REV-COGS)		\$0.0	\$35.0	\$55.0
Operating Expenses (SG&A)		\$0.0	\$5.0	\$5.0
Depreciation (DEPR)		\$0.0	\$10.0	\$10.0
EBIT		\$0.0	\$20.0	\$40.0
Capital Expenditure (CAPX)		\$80.0	\$0.0	\$0.0
dNet Working Capital (dNWC)		\$5.0	\$5.0	\$5.0